

MODULE 2

ANALYSING CONSUMER BEHAVIOUR

Meaning and Characteristics, Importance of consumer behaviour, Factors influencing Consumer Behaviour, Consumer characteristics influencing buying behaviour personal factors and cultural factors. Consumer Buying Decision Process, Buying Roles, Buying Motives. The black box model of consumer behaviour. Psychological factors consumer.

MEANING OF BUYING BEHAVIOUR / CONSUMER BEHAVIOUR

“Consumer behavior is defined as the behavior that consumer display in searching for, purchasing, using, evaluating, and disposing of products and services that they expect will satisfy their needs”.

Consumer behaviour is the study of how individual customers, groups or organizations select, buy, use, and dispose ideas, goods, and services to satisfy their needs and wants. It refers to the actions of the consumers in the marketplace and the underlying motives for those actions.

According to Engel, Blackwell, and Mansard, ‘consumer behaviour is the actions and decision processes of people who purchase goods and services for personal consumption’.

According to Loudon and Bitta, ‘consumer behaviour is the decision process and physical activity, which individuals engage in when evaluating, acquiring, using or disposing of goods and services’.

CHARACTERISTICS OF CONSUMER BEHAVIOUR

There are several characteristics of consumer behavior that marketers and researchers must understand to effectively target and influence consumers. Here are some of the key characteristics of consumer behavior:

1. **Complexity:** Consumer behavior is a complex process that involves multiple factors, such as psychological, social, cultural, and economic influences.

2. **Diversity:** Consumers are diverse and have different needs, preferences, and attitudes, which makes it challenging for marketers to create a one-size-fits-all marketing strategy.
3. **Involvement:** Consumers vary in the level of involvement they have with a particular product or service. Some products are of high importance to consumers, while others are low, which affects the decision-making process.
4. **Dynamic:** Consumer behavior is constantly changing and evolving over time, influenced by new trends, technologies, and societal changes.
5. **Multi-Dimensional:** Consumer behavior is multidimensional, involving different aspects such as perception, learning, motivation, and attitudes.
6. **Cultural Influence:** Consumer behavior is heavily influenced by cultural factors such as beliefs, customs, values, and traditions.
7. **Decision-making process:** Consumer behavior involves a decision-making process that starts with recognizing a need, searching for information, evaluating alternatives, making a purchase, and post-purchase evaluation.
8. **Emotional factor:** Emotions play a significant role in consumer behavior, with many decisions made based on feelings and personal preferences.
9. **Understanding these characteristics of consumer behavior** can help marketers and businesses to develop more effective marketing strategies and create products and services that meet the needs and desires of their target customers.

IMPORTANCE OF BUYING BEHAVIOUR / CONSUMER BEHAVIOUR

1. **Modern Philosophy:** It concerns with modern marketing philosophy – identify consumers' needs and satisfy them more effectively than competitors. It makes marketing consumer- oriented. It is the key to succeed.
2. **Achievement of Goals:** The key to a company's survival, profitability, and growth in a highly competitive marketing environment is its ability to identify and satisfy unfulfilled consumer needs better and sooner than the competitors. Thus, consumer behaviour helps in achieving marketing goals.

3. **Useful for Dealers and Salesmen:** The study of consumer behaviour is not useful for the company alone. Knowledge of consumer behaviour is equally useful for middlemen and salesmen to perform their tasks effectively in meeting consumers' needs and wants successfully. Consumer behaviour, thus, improves performance of the entire distribution system.
4. **More Relevant Marketing Programme:** Marketing programme, consisting of product, price, promotion, and distribution decisions, can be prepared more objectively. The programme can be more relevant if it is based on the study of consumer behaviour. Meaningful marketing programme is instrumental in realizing marketing goals.
5. **Adjusting Marketing Programme over Time:** Consumer behaviour studies the consumer response pattern on a continuous basis. So, a marketer can easily come to know the changes taking place in the market. Based on the current market trend, the marketer can make necessary changes in marketing programme to adjust with the market.
6. **Predicting Market Trend:** Consumer behaviour can also aid in projecting the future market trends. Marketer finds enough time to prepare for exploiting the emerging opportunities, and/or facing challenges and threats.
7. **Creation and Retention of Consumers:** Marketers who base their offerings on recognition of consumer needs find a ready market for their products. Company finds it easy to sell its products. In the same way, the company, due to continuous study of consumer behaviour and attempts to meet changing expectations of the buyers, can retain its consumers for a long period.
8. **Consumer Differentiation:** Market exhibits considerable differentiations. Each segment needs and wants different products. For every segment, a separate marketing programme is needed. Knowledge of consumer differentiation is a key to fit marketing offers with different groups of buyers. Consumer behaviour study supplies the details about consumer differentiations.
9. **Competition:** Consumer behaviour study assists in facing competition, too. Based on consumers' expectations, more competitive advantages can be offered. It is useful in improving competitive strengths of the company.

10. **Developing New Products:** New product is developed in respect of needs and wants of the target market. In order to develop the best-fit product, a marketer must know adequately about the market. Thus, the study of consumer behaviour is the base for developing a new product successfully.
11. **Dynamic Nature of Market:** Consumer behaviour focuses on dynamic nature of the market. It helps the manager to be dynamic, alert, and active in satisfying consumers better and sooner than competitors. Consumer behaviour is indispensable to watch movements of the markets.
12. **Effective Use of Productive Resources:** The study of consumer behaviour assists the manager to make the organizational efforts consumer-oriented. It ensures an exact use of resources for achieving maximum efficiency. Each unit of resources can contribute maximum to objectives.
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CONSUMER CHARACTERISTICS INFLUENCING BUYING BEHAVIOR PERSONAL FACTOR

There are several personal factors that can influence a consumer's buying behavior. Some of the key personal factors are:

- a) **Age:** A person's age can influence their buying behavior. For example, younger consumers may be more likely to purchase trendy and fashionable products, while older consumers may be more concerned with quality and durability.
- b) **Gender:** Gender can also play a role in consumer behavior. For example, men and women may have different preferences when it comes to product features, price, and brand reputation.
- c) **Income:** A consumer's income level can influence their buying behavior. Consumers with higher incomes may be more likely to purchase luxury goods or high-end products, while consumers with lower incomes may be more price-sensitive.
- d) **Education level:** Consumers with higher levels of education may be more likely to purchase products that are environmentally friendly, socially responsible, or ethically produced.
- e) **Lifestyle:** A person's lifestyle can also play a role in their buying behavior. For example, a person who is health-conscious may be more likely to purchase organic or natural products, while a person who is into sports may be more likely to purchase fitness equipment or sportswear.
- f) **Personality:** A person's personality can also influence their buying behavior. For example, a person who is outgoing and extroverted may be more likely to purchase products that help them socialize or stand out, while a person who is introverted may be more likely to purchase products that provide comfort or security.

Overall, personal factors can significantly influence a consumer's buying behavior, and understanding these factors is essential for marketers who want to develop effective marketing strategies.

CONSUMER CHARACTERISTICS INFLUENCING BUYING BEHAVIOR CULTURAL FACTORS

Cultural factors are one of the primary influences on consumer buying behavior. Culture refers to the values, beliefs, customs, and behaviors shared by a group of people. Here are some of the ways that cultural factors can influence consumer buying behavior:

1. **Cultural norms and values:** The beliefs and values held by a particular culture can influence the types of products that consumers are willing to buy. For example, in some cultures, modesty and simplicity are highly valued, which may influence consumers to purchase conservative clothing and avoid ostentatious displays of wealth.
2. **Social class:** The social class to which a consumer belongs can also influence their buying

behavior. Consumers from higher social classes may be more likely to purchase luxury goods or high-end products, while consumers from lower social classes may be more price-sensitive.

3. **Religion:** Religious beliefs can also influence consumer buying behavior. For example, consumers who follow certain religious beliefs may be more likely to purchase products that are in line with their faith, such as halal or kosher foods.
4. **Language:** Language can also play a role in consumer buying behavior. Marketers who use language that resonates with a particular culture or subculture may be more successful in reaching and influencing those consumers.
5. **Subcultures:** Subcultures are smaller groups within a larger culture that share unique values, beliefs, and behaviors. Consumers who belong to subcultures may have different buying behaviors than the larger culture. For example, skateboarders may be more likely to purchase products that are associated with their subculture, such as Vans shoes or Thrasher magazine.

Overall, cultural factors can significantly influence consumer buying behavior. Marketers who understand the cultural values, beliefs, and behaviors of their target audience can develop more effective marketing strategies that resonate with those consumers.

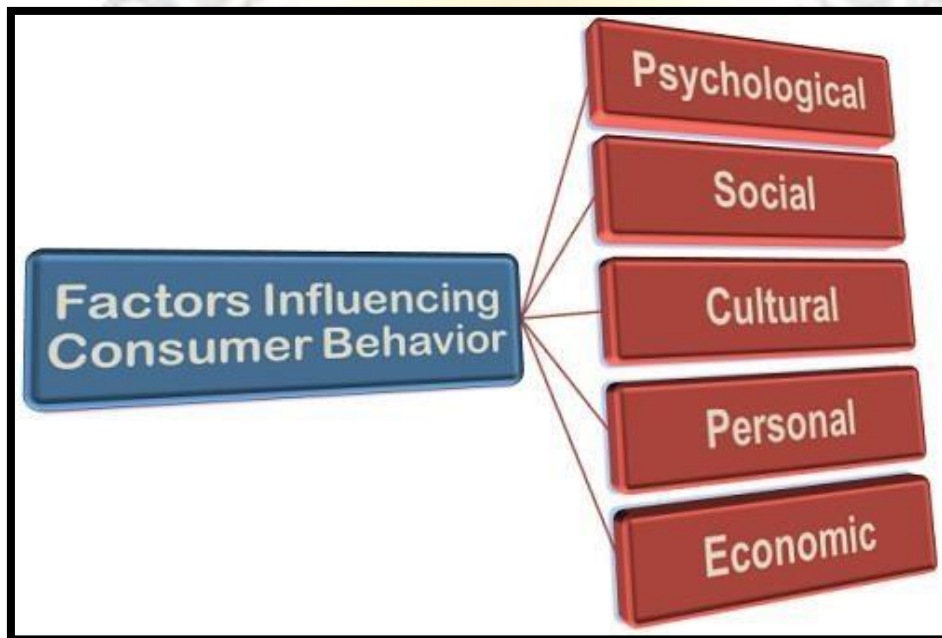
CONSUMER CHARACTERISTICS INFLUENCING BUYING BEHAVIOR **PSYCHOLOGICAL FACTORS**

1. **Perception:** Perception refers to how consumers interpret and make sense of the information they receive from the environment. It can be influenced by personal biases, previous experiences, and cultural background.
2. **Motivation:** Motivation is the driving force behind a consumer's behavior. It can be intrinsic (e.g. personal satisfaction) or extrinsic (e.g. rewards, recognition).
3. **Learning:** Learning refers to the process of acquiring new information and skills through experience, observation, and education. It can influence consumer behavior by shaping preferences, attitudes, and expectations.
4. **Attitudes and beliefs:** Attitudes and beliefs refer to a consumer's positive or negative feelings about a particular product or brand. They can be influenced by personal values, social norms, and cultural background.
5. **Personality:** Personality refers to the unique set of characteristics that define an individual's behavior, emotions, and thoughts. It can influence consumer behavior by shaping preferences,

perceptions, and decision-making styles.

6. **Lifestyle:** Lifestyle refers to the patterns of behavior, attitudes, and activities that define an individual's way of living. It can influence consumer behavior by shaping preferences, values, and purchasing decisions.
7. **Emotions:** Emotions refer to the feelings and moods that consumers experience when making a purchase decision. They can be positive (e.g. excitement, happiness) or negative (e.g. anxiety, regret) and can influence the decision-making process.

FACTORS INFLUENCING CONSUMER BEHAVIOUR



1. **PSYCHOLOGICAL FACTORS:** The human psychology plays a crucial role in designing the consumer's preferences and likes or dislikes for a particular product and services. Some of the important psychological factors are:
 - Motivation
 - Perception
 - Learning
 - Attitudes and Beliefs

2. **SOCIAL FACTORS:** The human beings live in a complex social environment wherein they are surrounded by several people who have different buying behaviors. Since the man is a social animal who likes to be acceptable by all tries to imitate the behaviors that are socially acceptable. Hence, the social factors influence the buying behavior of an individual to a great extent. Some of the social factors are:

- Family – strong influence on particular products and services
- Reference Groups – Friends, Working group, Neighbors.
- Roles and status – Recognition, Prestige.

3. **CULTURAL FACTORS:** It is believed that an individual learns the set of values, perceptions, behaviors, and preferences at a very early stage of his childhood from the people especially, the family and the other key institutions which were around during his developmental stage. Thus, the behavioral patterns are developed from the culture where he or she is brought up. Several cultural factors are:

- Culture – Nationality, Behavior, Beliefs and values
- Subculture – caste, Religion
- Social Class – (Upper class, upper middle class, middle class, lower middle class, lower class)

4. **PERSONAL FACTORS:** There are several factors personal to the individuals that influence their buying decisions. Some of them are:

- Age
- Income
- Occupation
- Lifestyle

5. **ECONOMIC FACTORS:** The last but not the least is the economic factors which have a significant influence on the buying decision of an individual. These are:

- Personal Income
- Family Income

- Income Expectations
- Consumer Credit
- Liquid Assets of the Consumer
- Savings

CONSUMER PURCHASE DECISION PROCESS / STAGES IN BUYING DECISION PROCESS:

1. Problem/need recognition - This is often identified as the first and most important step in the customer's decision process. A purchase cannot take place without the recognition of the need. The need may have been triggered by internal stimuli (such as hunger or thirst) or external stimuli (such as advertising or word of mouth).

2. Information search - Having recognized a problem or need, the next step a customer may take is the information search stage, in order to find out what they feel is the best solution. This is the buyer's effort to search internal and external business environments, in order to identify and evaluate information sources related to the central buying decision. Your customer may rely on print, visual, online media or word of mouth for obtaining information.

3. Evaluation of alternatives - As you might expect, individuals will evaluate different products or brands at this stage on the basis of alternative product attributes – those which have the ability to deliver the benefits the customer is seeking. A factor that heavily influences this stage is the customer's attitude. Involvement is another factor that influences the evaluation process. For example, if the customer's attitude is positive and involvement is high, then they will evaluate a number of companies or brands; but if it is low, only one company or brand will be evaluated.

4. Purchase decision - The penultimate stage is where the purchase takes place. Philip Kotler (2009) states that the final purchase decision may be 'disrupted' by two factors: negative feedback from other customers and the level of motivation to accept the feedback. For example, having gone through the previous three stages, a customer chooses to buy a new telescope. However,

because his very good friend, a keen astronomer, gives him negative feedback, he will then be bound to change his preference. Furthermore, the decision may be disrupted due to unforeseen situations such as a sudden job loss or relocation.

5. **Post-purchase behaviour** - In brief, customers will compare products with their previous expectations and will be either satisfied or dissatisfied. Therefore, these stages are critical in retaining customers. This can greatly affect the decision process for similar purchases from the Same company in the future, having a knock-on effect at the information search stage and evaluation of alternatives stage. If your customer is satisfied, this will result in brand loyalty, and the Information search and Evaluation of alternative stages will often be fast-tracked or skipped altogether.

BUYING ROLES OF BUYING BEHAVIOUR / CONSUMER BEHAVIOUR

1. **Initiator** – The person who begins the process of considering a purchase. A person who first suggests the idea of buying the particular product or service
2. **Influencer** - A person whose view or advice influences the decision. The person who attempts to persuade others in group concerning the outcome of the decisions, Influencers typically gather information and attempt to impose their choice criteria on the decisions.
3. **Decider** - A person who decides on any component of a buying decision; whether to buy, what to buy, how to buy, or where to buy.
4. **Buyer** - The person who makes the actual purchase. The person one who make transaction between seller and buys the product for own use.
5. **User** - A person who consumes or uses the product or service. The actual person one who consumes the product.

BUYING MOTIVE

“According to D J Miller” Buying motive are those influence or consideration which provide the impulse to buy, induce action or determine choice in purchase of goods or service.

There are two different types of buying motive are as follows:

Personal Motive

Role Playing

Diversion

Learning about new trends

Sensory Stimulation

Social Motive

Social Experience

Status and Authority

Pleasure of Bargaining

TYPES OF BUYING MOTIVES:

1. PRODUCT BUYING MOTIVES

Product buying motives are the factors or characteristics of a product that persuade a person to purchase only that product instead of other products available in the market. The factors can be physical appearance like design, size, color, price, shape etc. or can be psychological features like status, desire to reduce danger etc. Product buying motives is divided into two categories: Emotional and Rational.

Emotional Product Buying Motives

If a person purchases a product without thinking much rationally (i.e. with less reasoning) then he or she is said to have persuaded by emotional product buying motives. There are around ten kinds of emotional product buying motives: prestige, imitation, affection, comfort, ambition, distinctiveness, pleasure, hunger and thirst, habit.

Rational Product Buying Motives

If a person purchases a product after thinking rationally (i.e. logically deciding) then he or she is said to have persuaded by rational product buying motives. There are around eight kinds of rational product buying motives: security, economy, low price, suitability, utility, durability, convenience.

2. PATRONAGE BUYING MOTIVES

Patronage buying motives are the factors or characteristics that influence a person to purchase a product from particular shop instead of purchasing from other shops selling the same product. It

can be divided into two categories: Emotional and Rational

Emotional Patronage Buying Motives

If a person purchases a product from a particular shop without thinking much about other shops, then he or she is said to have persuaded by emotional patronage buying motives.

There are around six kinds of emotional patronage buying motives: ambience of shop, showcase of products, recommendations by others, prestige, habit, imitation.

Rational Patronage Buying Motives

If a person purchases a product from a shop after complete analysis and reasoning then he or she is said to have persuaded by rational patronage buying motives. There are around eight rational patronage buying motives: convenience, low price, credit availability, more services, efficiency of the seller, wide variety, treatment, reputation.

TYPES OF BUYER BEHAVIOUR

1. Complex Buying Behaviour

Customers go through complex buying behaviour when he/she is highly involved in the purchase process and know the significant differences between different brands. Consumers showcase complex behaviour pattern when they are purchasing an expensive, infrequently bought and risky product. Such a customer does not know much about the product but needs to learn a lot before investing.

2. Dissonance-Reducing Buying Behaviour

Occasionally the consumer is highly, involved in a purchase but he/she sees very little difference in the brands. The high involvement shown is due to the kind of product which can be expensive, infrequent, or risky. But in this case since the brand differences are not pronounced the buyer would buy fairly quickly.

3. Habitual Buying Behaviour

Consumers who showcase the habitual buying behaviour have very little involvement in the product or brand category. They simply go to the store and reach for their preferred brand. Since they keep reaching for the same brand, this shows a habitual pattern, and not strong brand loyalty.

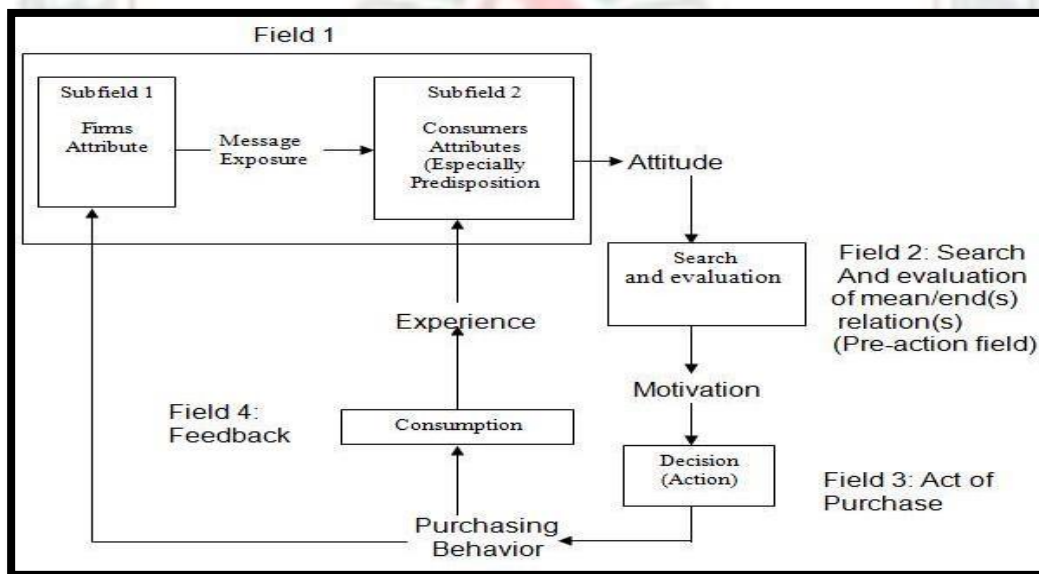
4. Variety-Seeking Buying Behaviour

Some buying conditions are categorized by very low consumer involvement, but see noteworthy brand differences. In this category of buyers, it has been often observed that they switch a lot of brands. Consumer might choose a brand for some set of beliefs, but without making much evaluation, once they use the product they tend to evaluate it and when the next time they go out to buy the product they would reach for some other brand out of boredom or even for a wish for different taste. Here brand switching occurs for the sake of variety and not for dissatisfaction.

THE BLACK BOX MODEL OF CONSUMER BEHAVIOUR

- Nicosia Model
- Howard Sheth Model
- Engel Kollat Blackwell Model

NICOSIA MODEL:



- The model proposed by Francesco Nicosia in the 1970s, was one of the first models of consumer behavior to explain the complex decision process that consumers engage in during purchase of new products. Instead of following a traditional approach where the focus lay on the act of purchase.

- Nicosia tried to explain the dynamics involved in decision making. Presenting his model as a flow-chart, he illustrated the decision-making steps that the consumers adopt before buying goods or services; decision aiming was presented as a series of decisions, which follow one another.
- The various components of the model are seen as interacting with each other, with none being essentially dependent or independent; they are all connected through direct loops as well as feedback loops. Thus, the model describes a flow of influences where each component acts as an input to the next.
- The consumer decision process focuses on the relationship between the marketing organization and its consumers; the marketing organization through its marketing program affects its customers; the customers through their response to the marketer's action, affects the subsequent decisions of the marketer; the cycle continues.

1. **Marketer's communication affecting consumers' attitude:** This comprises Field 1 (i.e. "from the source of a message to the consumers' attitude"). The consumer is exposed to the firm's attributes through the marketing communication; this marketing communication could take place impersonally via mass media (TV, newspaper, websites, etc) as well as personally. The information could relate to the firm attributes as well as the product, price and distribution. This message relating to the firm's attributes affects the consumers' perception, predisposition and attitude toward the firm and its offering. Of course, the impact on perception and attitude is also dependent upon the consumer's personal characteristics, values, experiences, culture, social influences etc. Thus, the marketer's communication affects the consumers' attitude

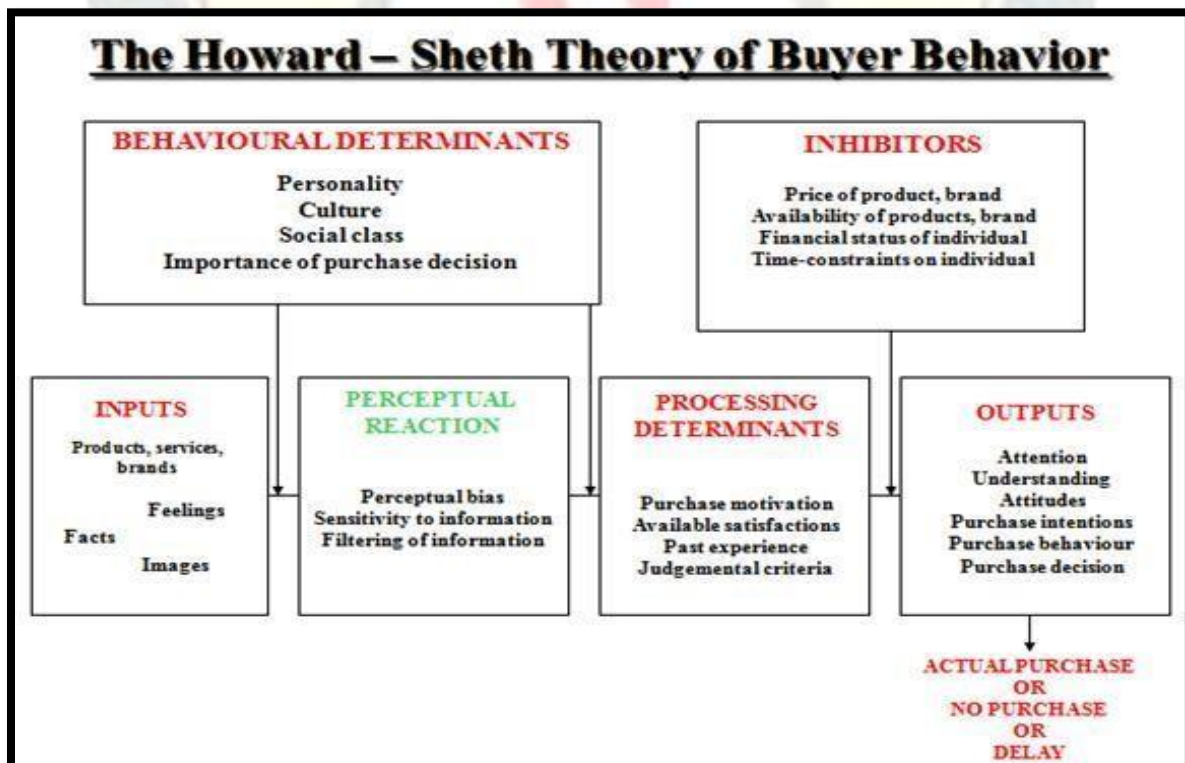
2. **Consumer's search and evaluation:** After an attitude is formed, the consumer moves to Field 2 of the model, i.e. the consumer's search for and evaluation of means/end(s) relation(s) which forms the reaction field. The consumer searches for information about the product category and the varying alternatives, and thereafter evaluates the various brands on criteria like attributes, benefits, features etc. These criteria could be based on his learning and past experiences as well as the marketer's inputs. This step creates a motive in the mind of the consumer to purchase the product.

3. **Purchase action:** The motivate state leads to Field 3 of the model, i.e. the decision making on the part of the consumer and the act of purchase. The consumer finally gets into action and buys the product from a chosen retailer.

4. **Consumption experience and feedback:** The purchase action leads a consumer to Field 4 of the model which is consumption experience and feedback. After purchasing the product, and the resultant consumption, the consumer may have two kinds of experiences. A positive experience in terms of customer satisfaction may reinforce his predisposition with the product/brand and make him loyal towards it.

A negative experience on the other hand, implying consumer dissatisfaction would affect his attitude negatively, lower down evaluations about the product/brand and even block his future purchases. This Field provides feedback to the marketer, who can modify its mix accordingly. In the first field, the marketer communicates with the customer and promotes an unfamiliar product to him; depending upon the existing predispositions and his evaluation, the consumer develops an attitude.

In the second field, the consumer searches for information and evaluates it based on his attitudes; thereafter, he develops a motivation to act. In the third field, he makes and purchase and in the fourth field, he would provide feedback and also memorize his experience and learning for future use. Thus, the firm communicates with consumers through its marketing messages and the consumers react through an act of purchase. Both the firm and the consumer influence each other.



HOWARD SHETH MODEL

I. Input variables, i.e. stimuli arising from the marketing activities and social environment of the consumer. Include three different types of stimuli, which are:

- Significant incentives - physical characteristics and the attributes of a product, such as price, quality, originality and accessibility, brand characteristics,
- Symbolic incentives - verbal or visual characteristics of the product, form of product perceived by buyer/customer, effect of advertising and promotion messages used by seller,
- Social stimuli - whose source is the social consumer environment, family, reference groups, and society in general.

II. Hypothetical constructs, including the psychological variables influencing consumer behaviour during the decision-making process. It is regarded by the authors as abstract, not defined and not intended directly. They distinguished two main constructs:

- Perceptual constructs - describe obtaining and processing information, attention to stimulus, sensitivity to messages, receptivity, blocking information, prejudice, etc.,
- Learning constructs - how buyer forms attitudes, opinions, and knowledge influencing his buying decisions, evaluation after purchase, brand comprehension, etc.

III. Output variables: purchase intention, attitude, brand perception and attention. They are noticeable effects of internal processes, for example: decision to implement the purchase, disclosure of customer view and interest, as well as the declaration of other activities. The most important output variable from the point of view of marketing is actual purchase, because it involves carrying out activity based on consumer preferences. Hierarchy of output variables include:

- Attention - scope of information accepted after exposing buyer to stimulus,
- Comprehension - amount of information actually processed and stored in buyer mind,
- Cognition - forming attitude towards products,

- Intention - to buy or not to buy particular product,
 - Purchase behaviour.
5. **External variables** that have not been presented in the Howard and Sheth model and are not direct part of the decision-making process, however, have a significant impact on consumer decisions and are used in marketing activities as a criterion for segmentation. These include such variables as: value of purchase for the buyer, the character traits of the consumer, membership of a social group, the financial status of a consumer, the pressure of time.

ENGEL KOLLAT BLACKWELL MODEL

This model talks of consumer behavior as a decision-making process in the form of 4 step which occur over a period of time. Apart from these basic core steps, the model also includes a number of other related variables grouped into 4 categories

- 1. Information Input** - At this stage the consumer gets information from marketing and non-marketing sources, which also influence the problem recognition stage of the decision-making process. If the consumer still does not arrive to a specific decision, the search for external information will be activated in order to arrive to a choice or in some cases if the consumer experience dissonance because the selected alternative is less satisfactory than expected.
- 2. Information Processing stage** - This stage consists of the consumer's exposure, attention, perception, acceptance, and retention of incoming information. The consumer must first be exposed to the message, allocate space for this information, interpret the stimuli, and retain the message by transferring the input to long-term memory.
- 3. Decision process stage**- The central focus of the model is on five basic decision-process stages: Problem recognition, search for alternatives, alternate evaluation (during which beliefs may lead to the formation of attitudes, which in turn may result in a purchase intention) purchase, and outcomes. But it is not necessary for every consumer to go through all these stages; it depends on whether it is an extended or a routine problem-solving behavior.
- 4. Variable influencing the decision process**- This stage consists of individual and environmental influences that affect all five stages of the decision process. Individual characteristics include motives, values, lifestyle, and personality; the social influences are culture, reference groups, and

family. Situational influences, such as a consumer's financial condition, also influence the decision process.

IMPORTANT QUESTIONS:

1. Interpret the factors influencing the consumer behavior.10m
2. Explain the Nicosia Model of Consumer behavior.10m
3. Enumerate the Howard Sheth Model of Consumer behavior.10m
4. Elaborate the EKB Model of Consumer behavior.7m
5. List the Buying roles of buying behavior / consumer behavior.3m
6. What is Buying motives? Explain the different types of Buying motives10m
7. Discuss consumer behavior. Justify with an Industrial Example.10m
8. Define Consumer Behaviour. 3m
9. Elucidate the consumer purchase decision process.7m
10. Describe the personal factors influencing buying behaviour . 7m
11. Describe the cultural factors influencing buying behaviour . 7m
12. Describe the Psychological factors influencing buying behaviour.7m